

commodities, or crypto. There is an official index against which everything you do is judged, measured, and compared.

If you run *large-cap stocks*, then it's the S&P 500. *Small caps*? The Russell 2000. *Emerging market equities*? MSCI EAFE Market Index. *Bonds*? Bloomberg Barclays US Aggregate Bond Index (US Agg). The list goes on and on. Each is updated in real time so managers literally see how they are performing—or, more often, underperforming—second by second, tick by tick.

You, the individual? You have no benchmark to meet or beat on a quarterly or annual basis; instead, you get to focus on working within your financial plan toward specific goals. Meanwhile, the Street is rife with stories of investors complaining to their fund managers about monthly and even weekly underperformance.

2. Outside investors

That's another thing: You have no outside investors. You don't have to spend a lot of time thinking about how you are going to market yourself or defend your actions when markets get wobbly. You don't need a pitch book or a PowerPoint presentation of any kind. You are responsible only to yourself (and your family).

It's your money! You are the CEO/CIO of You, Inc. Having no one else to answer to allows you to avoid lots of bad (professional) misbehavior. You can skip the quarterly conference calls with angry investors and ignore the withering media glare and cruel criticisms from your peers at other funds.

3. Costs and fees

You can keep your costs cheap, while the pros cannot. Individuals have practically no execution costs—you can buy stocks or ETFs for free today—and pay as little as five basis points for funds. Your cost structure, fees, and even taxes are within your control.